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Iluvatar CoreX Semiconductor Co., Ltd. | Asia Pacific

1H26 GM miss: Near-term pain, not structural weakness

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	↓ Meaningful shortfall Financial results versus consensus	↓ Modest revision lower Direction of next 12-month consensus EPS
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Source: Company data, Morgan Stanley Research

Key Takeaways

- Keep OW. We view the below-peer GM in 1H26 as largely a near-term strategic trade-off to penetrate major CSP supply chains.
- As CSPs complete software and ecosystem integration with Iluvatar’s products, we expect better alignment with real-world token production environments...
- ...laying the technical foundation for sustained long-term order wins.

1H26 GM came in meaningfully below expectations.

- Iluvatar reported 1H26 revenue of Rmb946mn, up 192% Y/Y and slightly below our Rmb976mn estimate. Shipments of AI GPUs (including Tiangai 150 and Zhikai series chips) remained robust in 1H26.
- 1H26 GM was 17.2%, well below our estimate, primarily owing to a Rmb171mn gross loss in the semiconductor components segment. Based on our industry checks, we attribute the loss to strategic low pricing of server memory products to secure partnership with the major CSP customer. 1H26 also included Rmb72mn of impairment losses, which we believe mainly reflected write-downs of legacy products.
- Net profit to shareholders reached Rmb106mn, turning profitable from the loss a year ago, largely driven by Rmb760mn in fair value gains from equity investments.

We flag the notable build-up in inventory and prepayments – it exceeded

Rmb3.9bn in 1H26: We believe this reflects proactive wafer procurement and HBM stockpiling ahead of Tiangai 300 GPU shipments in 2027, supporting accelerated revenue growth next year.

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Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK, 9903 HK)

Greater China Technology Semiconductors | Hong Kong

Stock Rating	Overweight
Industry View	Attractive
Price target	HK\$688.00
Up/downside to price target (%)	73
Shr price, close (Aug 28, 2026)	HK\$396.80
52-Week Range	HK\$887.50-148.90
Sh out, dil, curr (mn)	254
Mkt cap, curr (mn)	Rmb86,582
EV, curr (mn)	Rmb86,010
Avg daily trading value (mn)	HK\$666

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	(5.31)	(0.91)	6.44	11.48
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	-	(2.06)	4.82	8.62
Revenue, net (Rmb mn)	1,034	3,251	8,244	12,271
EBITDA (Rmb mn)	(876)	(79)	1,788	3,248
ModelWare net inc (Rmb mn)	(1,004)	(232)	1,637	2,920
P/E	NM	NM	52.9	29.7
RNOA (%)	(88.8)	(11.7)	30.7	31.7
ROE (%)	(145.7)	(9.9)	30.0	41.1
EV/EBITDA	NM	NM	48.5	26.3
Div yld (%)	-	0.0	0.0	0.0
FCF yld ratio (%)**	-	1.2	(2.0)	1.4
Leverage (EOP) (%)	(24.3)	(28.9)	1.7	(10.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)

Key valuation assumptions include:

- An 8.3% cost of equity (derived from a beta of 1.05, risk-free rate of 2.0%, and equity risk premium of 6.0%)
- A long-term payout ratio of 34% (was 33%)
- A medium-term growth rate of 16%
- A perpetual terminal growth rate of 6%

Risks to Upside

- Stronger-than-expected CSP orders
- Faster CUDA replacement with Iluvatar's software
- Expansion of overseas and domestic capacity

Risks to Downside

- Order ramp below expectations
- Escalation of sanctions
- Intensifying competition

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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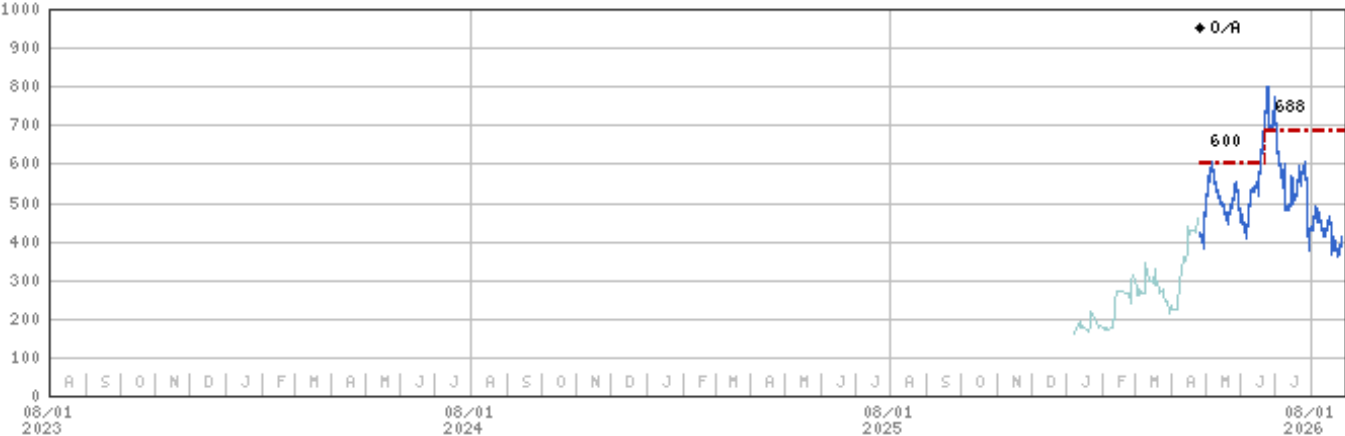
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Stock Price, Price Target and Rating History (See Rating Definitions)

Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK) - As of 08/30/26 GMT in HKD
Industry : Greater China Technology Semiconductors



Stock Rating History: 4/27/26 : 0/A
Price Target History: 4/27/26 : 600; 6/22/26 : 688

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ■
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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/28/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$74.42
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb367.00
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$117.50
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,065.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$621.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,046.63
CXMT Corp (688825.SS)	O (08/26/2026)	Rmb58.60
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$6,015.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$972.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$500.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$120.60
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$396.80
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$270.00
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,985.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb674.90
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$540.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb697.51
Omnivision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb82.00
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,150.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb114.50
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$458.00
SMIC (0981.HK)	O (10/21/2025)	HK\$70.15
TSMC (2330.TW)	O (02/07/2022)	NT\$2,420.00
UMC (2303.TW)	O (05/19/2026)	NT\$130.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$153.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$439.00
Daisy Dai, CFA		
ASMPT Ltd (0522.HK)	O (07/24/2025)	HK\$160.90
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb60.95

Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb96.10
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb34.17
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb245.49
Innoscence (2577.HK)	E (10/13/2025)	HK\$46.28
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb74.93
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$25.68
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb105.86
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb91.07
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb62.78
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb26.99
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb94.43

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$895.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,450.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$15,630.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$101.00
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$138.50
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,540.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb115.88
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb396.82
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$126.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$285.00
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb213.00
Novatek (3034.TW)	U (02/04/2026)	NT\$545.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$122.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$584.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$70.00
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$722.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb48.89
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$181.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$100.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$196.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb115.01
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb376.88

Henry Zhao

Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb77.39
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Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,365.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$701.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.64
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,490.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,030.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$245.81
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,250.00

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* Historical prices are not split adjusted.